

unexpected, it will no longer be available to cover what was originally intended.

There is another subtle point about the importance of reserves that relates to longevity risk aversion. When relying on an investment portfolio to cover retirement expenses, another reason why people may spend less could be that they have a somewhat amorphous mental account in their mind about using assets. They have earmarked the same pool of investments to cover both lifestyle and liquidity, not clearly distinguishing how these objectives can be separated. Thus, in a sense, they worry that all of their investments must provide liquidity for contingencies, and they spend less in response. They want a very high probability of success for their spending plan, because they fear dipping into this pool of assets for contingencies as well, in a way not modeled within their financial plan. With the RIO-Map framework, we can be more explicit about the available reserve assets, which may allow retirees to feel more comfortable to go ahead and spend to support their lifestyle goals more completely.

As mentioned, some of the reserve assets we analyze are intended to help reduce the potential size of the contingency liability box, rather than purely increasing the size of the reserve asset box. For instance, having a strong network of family and community support in place reduces the need for large expenditures for care in the event of various health, cognition, or frailty shocks. Likewise, taking care of your health and considering your family health history are another set of important factors that affects the size of potential health expenses. Laying a foundation to support aging in place can help reduce the potential costs of late-in-life institutional living. As well, maintaining proper insurance coverage for health, long-term care, property, and one's life also can limit the impact of spending shocks related to these events. Being able to view these reserves within the RIO-Map could help with any psychological angst one feels about "not having enough."

Two other matters we consider within reserves may not sound like "reserve assets," though they also help control risks related to various retirement contingencies. These include having a team of financial professionals in place, and taking care of basic estate planning tasks. For financial professionals, a financial advisor is able to serve as a "quarterback" to